



What a "Strong and Rich Japan" could mean

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Executive summary

- Japan could be at the precipice of a very significant shift in fiscal and industrial policy, with echoes of the Meiji Restoration. Japan's new economic blueprint seeks to put the country on a path of investment-driven growth to meet the challenges of a new era.
- Japan is not alone in its bid to prioritize industry and rearm, but given a higher starting point for government debt, it will have to find room to spend while maintaining fiscal sustainability. This will inform Japan's approach in very significant ways.
- First, Japan is likely to remain focused on supporting nominal GDP growth, aiming to keep it above government funding costs to create deficit space. Second, Japan will look to actively mobilize domestic savings to fund investments and manage yield pressure. Each of these shifts could have implications for the currency.
- Japan's excess savings have arguably been kept in two places: in cash and abroad. The government is looking to get both moving. Households have around 50% of their \$15tn of savings in cash and deposits. Meanwhile, GPIF has 50% of its \$1.8tn portfolio abroad. If industry, energy, defence need to come home, so might the capital to fund them.
- Over the past few months, Japanese policy makers have been very focused on stabilizing the currency. However, if fiscal capacity is becoming the most important policy criteria, incentives could shift from FX to yield management.
- The ultimate impact on USD/JPY will depend on the levers the government chooses to pull to manage yields. If GPIF is mandated to bring money back into domestic assets, this could be very bullish for the JPY. However, if the BoJ is coopted to support bonds through renewed JGB purchases, this could be very negative for the JPY.
- Suppressing yield volatility could come alongside bigger moves in FX from here, depending on the approach the government takes. This favours higher JPY vol.

Authors

Mallika Sachdeva
Strategist



Echoes of Meiji

Japan could be at the precipice of a very significant shift in fiscal and industrial policy, with echoes of the Meiji Restoration. In 1868, pre-modern Japan was staring at the threat of foreign involvement and colonization, having seen the Opium Wars unfold in China. Japan had signed unequal trade treaties that opened Japanese ports to free trade imperialism, prevented Japan from setting tariffs, and exempted foreigners from local laws. Japan's response changed history: under the Meiji Restoration, Japan returned rule to the emperor, strengthened the state, and pursued extremely rapid industrialization.

One could argue that Japan again faces existential challenges given fractures in globalization, intensifying great power competition, insecurity around energy and critical minerals, the need to participate in AI innovation, and external dependence for defence. Japan's answer under PM Takaichi: to return to its roots as an industrial nation driven by state and fiscal policy. The slogan of the 1868 Meiji Restoration was "Fukoku Kyohei" which translates into "Enrich the Country, Strengthen the Armed Forces" or more simply: rich country, strong army. It is perhaps telling that Takaichi's government is introducing an economic blueprint that calls for a "Strong and Rich Japan". ([Nikkei Asia](#)).

Invest, invest, invest

Japan's Cabinet has now passed the [Honebuto](#), or the government's new Basic Policy on Economic and Fiscal Management. The document calls for moving beyond "conventional thinking", "putting an end to the trend of underinvestment", and "responding to the era of intense global industrial policy competition". The cornerstone of Japan's proposed policy shift seems to be Y370trillion of public-private partnership investments with the government having identified 17 key strategic areas from AI and quantum, to defence, aviation, shipbuilding, critical minerals, and others. These investments are seen as crucial to boosting potential growth. Indeed, the decline in Japan's potential growth rate has not principally been about demographics as is commonly assumed, but about the collapse in the capital stock ([Figure 1](#)). Japan went through decades of very low investment after the 1990 asset bubble burst. It now wants to return to being an investment-driven economy.

Finding the funding: two big shifts

Japan is not alone in its bid to reindustrialize and rearm, but compared to peers, Japan arguably has less fiscal space. Japan's debt to GDP hovers above 200%, while Germany and Korea are under 50%, making it easier for them to pursue significant expansion in their fiscal deficits. While Germany is moving from austerity to expansion, Japan will have to find spending room while continuing to chart a fiscally sustainable path. This will hugely inform Japan's policy approach. There are two important shifts Japan appears to be making to enable fiscal spending.

First, changing the fiscal target. The Honebuto has confirmed a shift in Japan's core fiscal target away from the primary balance. The primary balance will now no longer be a mechanical target; it will be managed over many years, and be allowed to deteriorate temporarily as required. The new fiscal target is now the "stable reduction of the total debt-to-GDP ratio for national and local governments." The second notable and enabling shift is the pursuit of an "asset management nation" strategy. Japan is looking to more actively mobilize domestic savings to fund

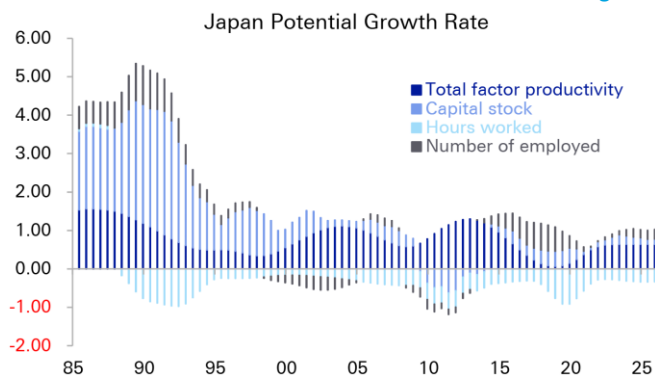


investments and help keep government financing costs manageable. Each of these shifts could have significant long-term implications for the currency.

The new fiscal approach means keeping r below g

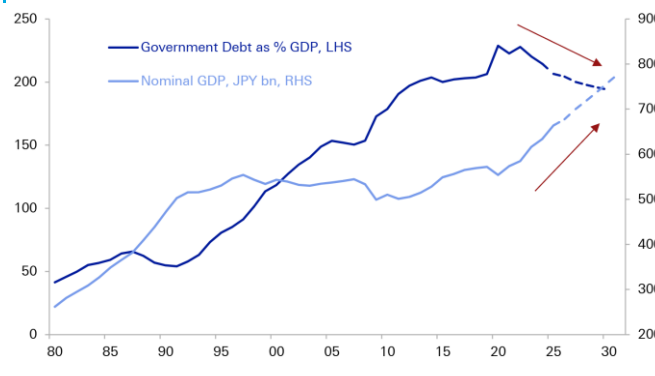
We think debt sustainability arithmetic has become key to understanding Japan's economic policy. Recall that: $\Delta d_t \approx (r-g)d_{t-1} + pd_t$ where d is the debt-to-GDP ratio, pd is the annual primary deficit, g is the nominal GDP growth rate, and r is the average interest rate paid on outstanding debt. The formula implies that Japan can run primary deficits and still achieve a declining debt-to-GDP ratio, as long as r is below g . In other words, Japan's cost of funding needs to be below nominal GDP growth for Japan to have fiscal deficit space. One might consider Abenomics' bid to return Japan to inflation as crucial to putting it on a path to fiscal health. As Figure 2 illustrates, the peaking in Japan's debt-GDP ratios has gone hand-in-hand with the revival in Japan's nominal GDP.

Figure 1: Japanese potential growth has declined on decades of underinvestment – this could now change



Source: Deutsche Bank Research, Bank of Japan

Figure 2: Rising nominal GDP has helped bring down debt-to-GDP



Source: Deutsche Bank Research, Haver Analytics

The extent of fiscal deficit space will crucially depend on the interplay between r and g with Figure 3 illustrating the potential space created by different $(r-g)$ scenarios. We note that the Honebuto outlined a 3% nominal GDP target (g) for Japan till 2040, made up of a 2% inflation target, and 1% real growth target, with aims of increasing it. This perhaps sheds light on why the government has become sensitive to the 3% level on 10Y yields. To be sure, Japan's overall cost of funding remains much lower for now at near 1% given just a fraction of debt is refinanced every year, but there are points of vulnerability. While the weighted average maturity of debt outstanding is around [9 years](#), BoJ holds close to 50% of outstanding JGBs against which they pay interest on excess reserves to banks. This means that almost half the consolidated liability base is in fact linked to front-end floating rates. Therefore, not only are long-run government bond yields above 3% not likely to be sustainable, front-end rate hikes also contribute to consolidated fiscal costs. Very roughly, every 100bps of rate hikes costs ¥5tn or around 0.7% of GDP.

The $(r-g)$ formula not only explains the importance of understanding the drivers of ' r ', but also explains the sensitivity to ' g '. It helps one appreciate why policymakers remain so worried about upsetting the balance on hard-won nominal GDP growth. Indeed, Japan tends to react very cautiously and dovishly



to any signs of growth risks (tariffs, Iran war) and has preferred to let inflation run hot and durable before tightening.

Japanese policy makers face a fine balancing act in optimizing this formula: dovish monetary policy may help to support g , but is also driving up r via inflation expectations reflected in long-run bond yields. Conversely, hawkish monetary policy could hurt ' g ' and also raise the cost of ' r ' via reserve payments. In light of this, the focus on trying to manage long-end yields makes more sense.

How might Japan do this? Changes to supply-side of debt management have been tried via reduced long-end issuance; the government may now be trying to more actively influence demand.

An Asset Management Nation

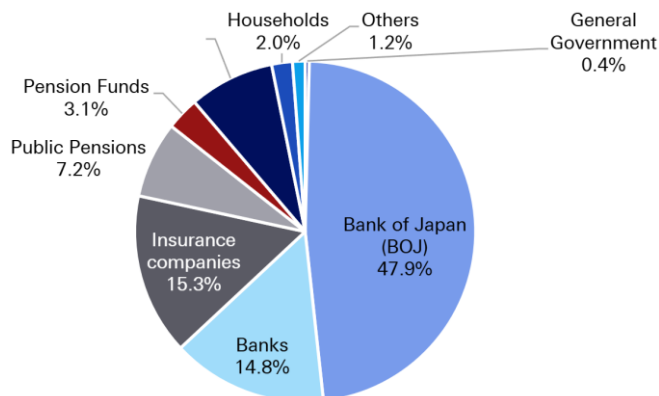
Very simply: Japan needs to find more buyers of JGBs (Figure 4). It is natural to look at where its own domestic capital has been invested. The answer points to two big places: in cash and overseas. Japan has close to USD5tn in portfolio assets held abroad across central bank, household, pension fund, insurance, and bank balance sheets, more than the size of GDP. Indeed, our research has long shown that one of the best metrics of fiscal space is a country's external position, and Japan may need to draw on it. Intuitively, the bid for strategic autonomy around the world should coincide with a growing "nationalism of capital." If industry, energy, defence all need to come home, so might the capital to fund it. We have explored this in earlier research [here](#). More of Japan's money could now be needed at home. Finance Minister Katayama has been explicit that Japan's ambitions to create a growth-oriented economy will coincide with a "strong stock market and positive interest rates" in which domestic citizens should reap benefits. The other perspective is they will help provide the money.

Figure 3: Keep g above r is key to Japan's fiscal space. Japan does not want to return to the lost decades

Scenario	Nominal GDP	Nominal Rates	Debt Stabilizing Primary Balance	Scenario Description
1	4.5%	1.75%	-5.5%	2025 Regime
2	3.0%	2.0%	-2.2%	Japan manages rise in yields to keep them below g
3	0.0%	1.5%	1.5%	Return to Lost Decades (1995-2010)

Source: Deutsche Bank Research, Bloomberg Finance LP

Figure 4: Japan will need to find more buyers of JGBs



Source: Deutsche Bank Research, Ministry of Finance

Where the money could come from

Pension fund and household assets appear to be the two big areas of focus for markets. The government pension fund, GPIF, currently has 50% of its \$1.8tn [portfolio](#) abroad. Meanwhile, households have around 50% of their \$15tn (!) of savings in cash and deposits (Figure 5).



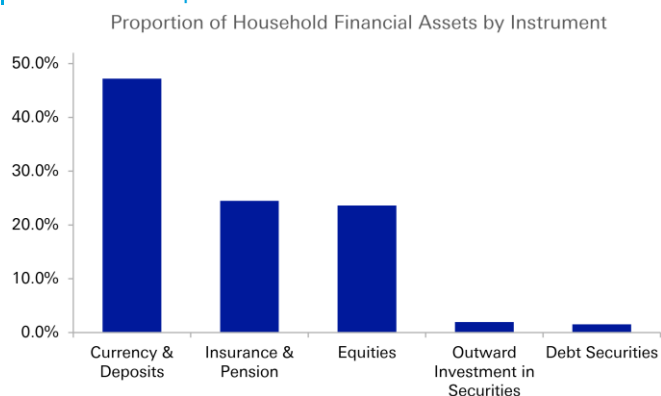
Movement of household deposits into JGBs could be encouraged through a few channels. JGBs may be brought under the NISA tax-exempt investment scheme; the retail JGB offering may be expanded or made more attractive. There were also references in the Honebuto to advancing on-chain finance, with the power of tokenization potentially being tapped to encourage financialization of savings. Mobilizing household savings could be material for yield management given their sheer size. For context, the 1000tn yen of household deposits are almost the size of the entire JGB market. It is not however likely to have any FX impact as it would mostly be an internal domestic flow.

In contrast, a shift from GPIF to invest more in domestic assets could be very material for FX, with PM Takaichi noting this is a key initiative. GPIF's [current policy mix](#) prescribes 25% investment in domestic equities and debt respectively, with +/-6% bands around it. If GPIF simply shifted to the top end of current permissible ranges from current levels (as of March 2026), this could bring around \$200bn back to Japan across domestic equities (\$130bn) and domestic bonds (\$75bn).

The bigger shift to play for however is an early policy review of GPIF's overall asset mix that revises up the domestic asset targets themselves. In [Figure 6](#) we illustrate scope for inflows at different levels of target allocation to domestic bonds alone. Hypothetically, if the target share of domestic bonds doubled to 50%, over USD400bn could flow into JGBs from GPIF. While this may seem extreme before Abenomics in 2012, GPIF had a 67% target allocation to domestic bonds in their policy mix. One could reasonably expect any flows to occur with a glide path, but the scale alone could be significant enough to impact the currency.

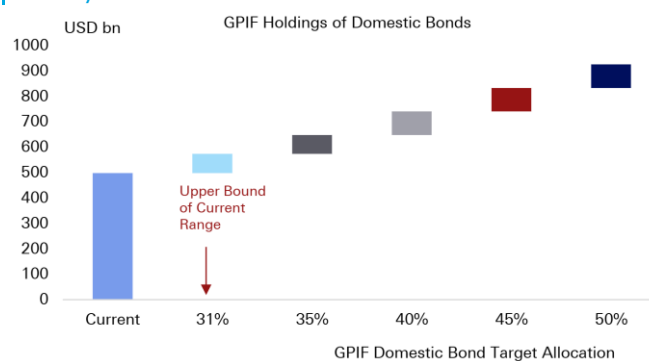
We note that GPIF has a current return objective of a 1.9% real return above nominal wage growth. The extent of any domestic reallocation will depend on how much Japan's domestic assets can deliver that return, or whether government pension returns are made subservient to financing costs for now. Another group that may be called upon to play a bond absorption role could be local banks. This is a source of financial repression has been used extensively around the world and could return where deficit financing demands it.

Figure 5: Japanese households hold half their savings in cash and deposits



Source: Deutsche Bank Research, Haver Analytics

Figure 6: GPIF could be encouraged to bring more money back into domestic bonds



Source: Deutsche Bank Research, GPIF



A shift to yield management could lead to bigger FX moves

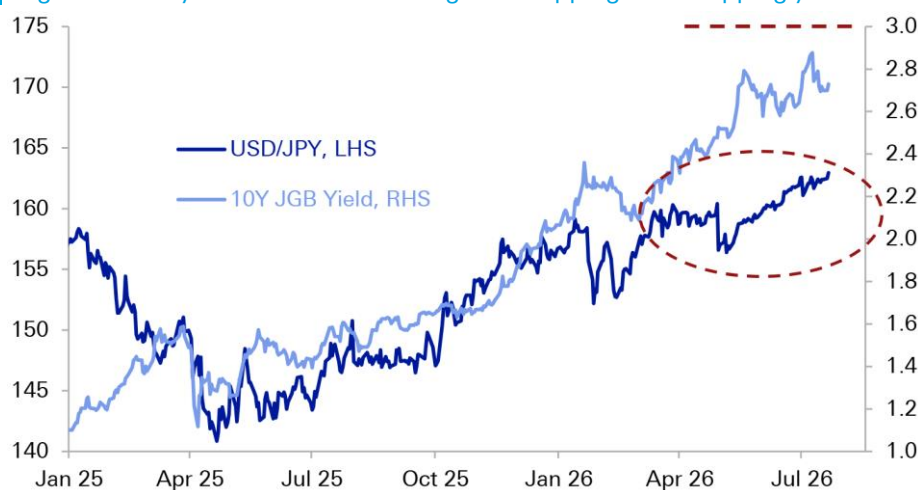
Over the past few months, Japanese policy makers have arguably been solving for stabilizing the currency. Household angst and imported inflation risks have likely encouraged this. Policymakers have engaged in verbal, rate check and actual intervention this year. And, Japan has in fact been successful in keeping USD/JPY near 160 amid the US-Iran war, a major global energy shock, and volatility in Fed pricing.

If, however, fiscal capacity is becoming the biggest and more existential policy criteria for Japan, then incentives may be shifting from FX management to yield management: from capping USD/JPY to capping 10Y yields and borrowing costs.

Suppressing interest rate volatility may come at the cost of amplifying it in FX, depending on the specific levers that the government chooses to pull. If GPIF is mandated to bring a larger share of their assets back into domestic assets, this would be very bullish for the JPY. We have previously identified GPIF as the biggest weapon in Japan's external arsenal. Equally, if BoJ is encouraged to accelerate tightening to manage inflation risk premium in long-end yields this too could be bullish JPY. If, however, the BoJ is [coopted](#) to support yield management through a more active role in the bond market, potentially resuming JGB purchases, this would be negative for the JPY. Similarly, if BoJ is encouraged to keep monetary policy dovish to prioritize (r-g) considerations this too would be bearish JPY.

Ultimately, the direction of travel for USD/JPY will depend on which measures the government favours. Clearer and more imminent signs of GPIF repatriation would favour the stronger yen tail, while pressure on BoJ to manage rates and yields again could open the weaker tail. Efforts to suppress yield volatility could come alongside bigger moves in FX from here. This favours higher JPY vols. We note USD/JPY vols are near multi-year lows with a 1Y USD/JPY straddle breaking even roughly below 150 or around 170.

Figure 7: Policy focus could be shifting from capping FX to capping yields



Source: Deutsche Bank Research, Bloomberg Finance LP



Appendix 1

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